

of units at double earlier prices and, assuming profit margins remain unchanged, profits also must double.”

But here’s the kicker: both businesses will need to double their investment in tangible assets, too. As Buffett writes,

Both businesses probably would have to double their nominal investment in net tangible assets, since that is the kind of economic requirement that inflation usually imposes on businesses, both good and bad ... and all of this inflation-required investment will produce no improvement in rate of return. The motivation for this investment is the survival of the business, not the prosperity of the owner.

For See’s, this means \$8 million in additional investment. For Gold-Oil Co., this means \$18 million in additional investment.

Buffett paid \$25 million to own See’s. After this round of inflation, See’s “might be worth \$50 million if valued (as it logically would be) on the same basis as [sic] was at the time of our purchase.”

Thus, See’s would have gained \$25 million in nominal value on \$8 million of additional investment. That’s more than three to one. As for Gold-Oil Co., it might be still be worth the value of its net tangible assets, now \$36 million. That’s an \$18 million rise in value on \$18 million of additional investment. That’s 1 to 1.

Note that inflation was bad for both. But it was less bad for See’s, which owned little in tangible assets. This idea has been hard for many people to grasp, as Buffett notes:

For years the traditional wisdom — long on tradition, short on wisdom — held that inflation protection was best provided by businesses laden with natural resources, plants and machinery, or other tangible assets (“In Goods We Trust”). It doesn’t work that way. Asset-heavy businesses generally earn low rates of return — rates that often barely provide enough capital to fund the inflationary needs of the existing business, with nothing left over for real growth, for distribution to owners, or for acquisition of new businesses.